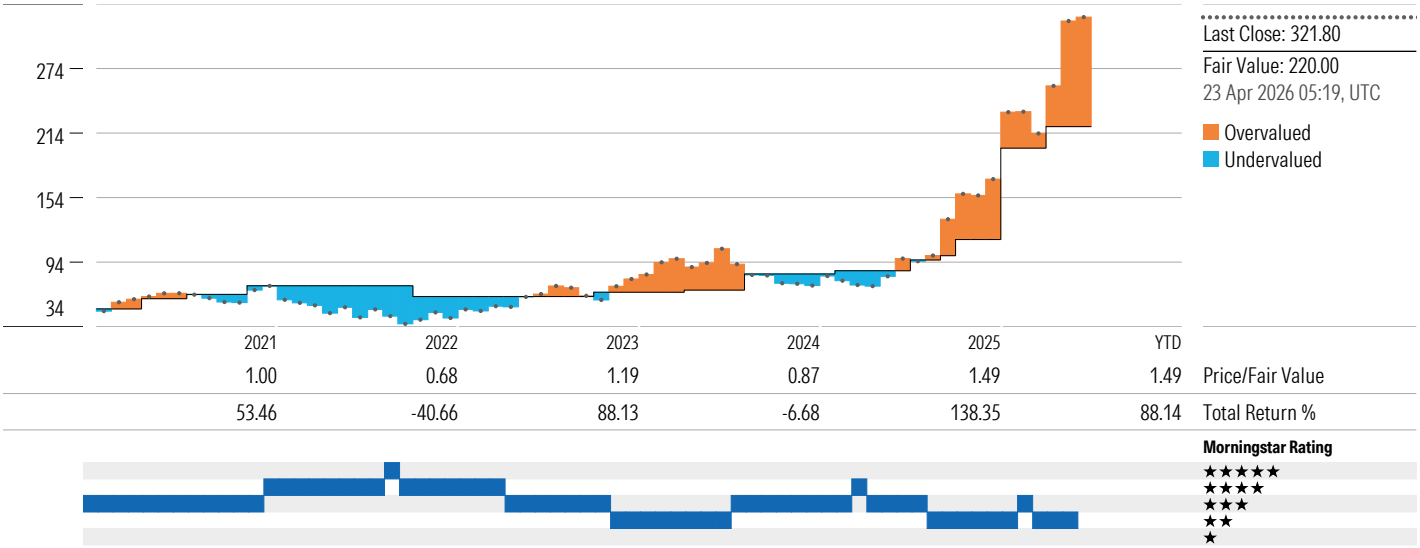
Lam Research Corp LRCX ★ 11 Jun 2026 21:21, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
321.80 USD 10 Jun 2026	220.00 USD 23 Apr 2026 10:19, UTC	1.49	453.36 USD Bil 11 Jun 2026	Wide	Large Growth	High	Exemplary

Price vs. Fair Value



Total Return % as of 10 Jun 2026. Last Close as of 10 Jun 2026. Fair Value as of 23 Apr 2026 05:19, UTC.

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'The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Wide-Moat Lam Is Enjoying an Immense Growth Cycle For AI Chip Infrastructure

Business Strategy & Outlook William Kerwin, CFA, Senior Equity Analyst, 23 Apr 2026

Lam Research is one of the largest providers of wafer fabrication equipment for semiconductors, and we believe its strong portfolio should enable it to maintain and increase its large market share. Lam historically was weighted to memory chipmakers, but has gained significant share in logic chip equipment and we expect it to be more in line with peers' exposure in the future. In our view, Lam will benefit from broadly increasing chip complexity over the long term, including advanced packaging, new transistor architectures, and high-bandwidth memory capacity expansion. We expect Lam to increase sales in the mid- to high-single digits over the course of market cycles and over the long term.

We assign a wide economic moat rating to Lam, underpinned by strong chip manufacturing expertise and steep customer switching costs. Lam holds a dominant market share in etch and a strong competitive position in deposition. We believe its large research and development budget, at about $2 billion annually, creates immense design prowess for WFE and is to credit for its impressive market share. We also think the complexity of its equipment and its embedded services are very sticky. We see Lam's moat resulting in pricing power that drives strong profit margins and good cash flow.

We expect results to vary with the cyclicality of the semiconductor industry, but believe Lam will grow over the long term. The firm's sales are a function of global chip volume and overall chip complexity,

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Sector
Technology

Industry
Semiconductor Equipment & Materials

Business Description

Lam Research is one of the largest semiconductor wafer fabrication equipment manufacturers in the world. It specializes in deposition and etch, which entail the buildup of layers on a semiconductor and the subsequent selective removal of patterns from each layer. Lam holds the top market share in etch and holds the clear second share in deposition. It is more exposed to memory chipmakers for DRAM and NAND chips. It counts as top customers the largest chipmakers in the world, including TSMC, Samsung, Intel, and Micron.

and while we see cyclicality in the former, we see durable growth for the latter. Trends toward rising layer counts in 3D NAND chips, high-bandwidth memory DRAM chips for artificial intelligence, gate-all-around transistors, and advanced packaging will drive demand for Lam's equipment and revenue growth through cycles, in our view. We also expect services to nicely offset cyclicality in equipment sales.

We monitor for further geopolitical risk affecting Lam via export restrictions between the US and China, but see much of this risk having already manifested and is now baked into results. Finally, we like Lam's significant shareholder returns funded with its heady cash flow.

Bulls Say William Kerwin, CFA, Senior Equity Analyst, 23 Apr 2026

- Lam is the market share leader in etch, which is the largest segment of the WFE market, and holds clear number-two share in deposition.
- The company is particularly strong in memory equipment and should benefit from secular trends toward denser 3D NAND chips, denser DRAM chips, and high-bandwidth memory.
- Lam generates good profitability, good free cash flow, and sends most of its cash flow back to shareholders.

Bears Say William Kerwin, CFA, Senior Equity Analyst, 23 Apr 2026

- Lam lacks the scale of Applied Materials, its largest competitor, and could face market share losses if it is not able to adequately invest.
- The company is prone to cyclicality in the semiconductor industry, which can slow revenue growth and compress margins. This is especially pronounced with Lam's high exposure to memory customers.
- Lam faces geopolitical risk arising from tensions between the US and China that could further restrict its ability to ship into Chinese chipmakers.

Economic Moat William Kerwin, CFA, Senior Equity Analyst, 23 Apr 2026

We assign Lam a wide economic moat rating on the basis of intangible assets and switching costs. The company's proficiency in semiconductor deposition and etch results from topnotch design expertise, in our view, and we think its embedded services business and long-term customer road maps are sticky. We also believe the sheer amount of investment required to remain at the forefront of leading chip development creates an immense barrier to entry to all but the largest and best-capitalized chip equipment manufacturers. We expect Lam to earn returns on invested capital well above its cost of capital more likely than not for the next 20 years.

We see Lam holding the most comprehensive portfolio of equipment for semiconductor etch in the world, along with very strong capabilities in deposition. Its product lines run the gamut of chip manufacturing, able to serve logic and memory chipmakers alike with cutting-edge equipment and offerings that span the cost and capability spectrum. Etch makes up about 30% of the WFE market, and

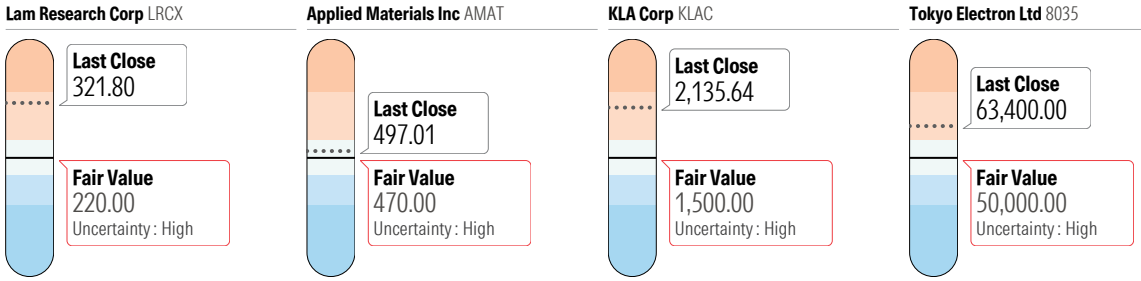
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Competitors



	Lam Research Corp LRCX	Applied Materials Inc AMAT	KLA Corp KLAC	Tokyo Electron Ltd 8035
Economic Moat	Wide	Wide	Wide	Wide
Currency	USD	USD	USD	JPY
Fair Value	220.00 9 Jun 2026 16:28, UTC	470.00 9 Jun 2026 16:30, UTC	1,500.00 9 Jun 2026 16:29, UTC	50,000.00 11 Jun 2026 12:08, UTC
1-Star Price	341.00	728.50	2,325.00	77,500.00
5-Star Price	132.00	282.00	900.00	30,000.00
Assessment	Overvalued 9 Jun 2026	Fairly Valued 9 Jun 2026	Overvalued 9 Jun 2026	Overvalued 11 Jun 2026
Morningstar Rating	★11 Jun 2026 21:21, UTC	★★★9 Jun 2026 05:00, UTC	★★9 Jun 2026 05:00, UTC	★★11 Jun 2026 05:00, UTC
Analyst	William Kerwin, Senior Equity Analyst	William Kerwin, Senior Equity Analyst	William Kerwin, Senior Equity Analyst	Kazunori Ito, Director
Capital Allocation	Exemplary	Exemplary	Exemplary	Standard
Price/Fair Value	1.49	1.06	1.43	1.27
Price/Sales	18.79	13.70	21.57	11.62
Price/Book	38.02	16.50	47.88	13.59
Price/Earning	60.83	46.71	60.48	49.43
Dividend Yield	0.31%	0.38%	0.37%	1.02%
Market Cap	452.86 Bil	438.77 Bil	315.03 Bil	28,837.34 Bil
52-Week Range	87.75—364.81	154.47—557.62	832.24—2,431.29	19,870.00—65,310.00
Investment Style	Large Growth	Large Growth	Large Growth	Large Growth

Lam controls more than a third of the market, much more than the nearest competitor.

In deposition, Lam's share is second to Applied Materials' but still a strong 20%. Lam's market shares look better in the larger and higher-value sections of these markets, like dry etch and chemical vapor deposition. To us, these strong share positions are the result of portfolio breadth and depth.

In etch, we see Lam as best of breed, and we see it as highly competitive in deposition, simply with less breadth. Lam excels in memory chipmaking. It is the de facto standard supplier of etch and deposition equipment for memory chipmakers, with the majority of 3D NAND wafers in the world coming through Lam equipment. Its portfolio is fueled by a research and development budget nearing $2 billion annually. This huge budget dwarfs all but the largest of WFE competitors and enables Lam to continue building its immense base of intangible assets. The strength of Lam's offerings helps it generate healthy non-GAAP gross margins consistently around 45%.

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Lam's portfolio strength helps it win customers, and we see it embedding in customers once installed. Chipmaking is extremely complicated and precise. As an example, Lam's etch equipment creates holes on a 3D NAND wafer with a diameter 1/1000th that of a human hair. On every wafer, Lam etches more than 1 trillion of these holes. A given fab can produce more than a million of these wafers per month. Removal and deposition of this precision gets calibrated to specific customer product lines, and chipmakers build workflows around their equipment with the singular goal of efficient production. Lam sends on-site service engineers to customer fabs to operate as an extension of the chipmakers engineering team. These service engineers help to calibrate equipment during R&D, tweak and fix bugs during production, and work with chipmakers on meeting manufacturing requirements. They also work on equipment upgrades or recalibration to repurpose equipment.

The high complexity of Lam's machines and the integration of its service engineers make it hard to replace, in our view. Beyond the cost of purchasing new equipment ($1 million or more per machine), chipmakers would need to redesign manufacturing workflows and learn wholesale new hardware and software interfaces, as well as restart knowledge sharing with new service engineers. Lam's equipment can last in the field for multiple decades, which generates deep connections with customer engineering teams and augments this stickiness. Lam's deep customer relationships also entail forward-looking project road maps up to 10 years out, giving the firm a leg up in winning new placements as it can target new machines to exact customer requirements.

The combination of Lam's robust portfolio, sticky customer relationships, and large ongoing investment give us confidence in the durability of its competitive position and healthy profitability. We believe these will allow it to continue earning strong economic profits more likely than not for the next 20 years, resulting in a wide economic moat.

Fair Value and Profit Drivers William Kerwin, CFA, Senior Equity Analyst, 23 Apr 2026

Our fair value estimate is $220 per share. Our valuation implies a fiscal 2026 adjusted price/ earnings multiple of 38 times and a fiscal 2026 enterprise value/sales multiple of 11 times. Against fiscal 2027 earnings and fiscal 2028 earnings, our valuation implies multiples of 28 times and 23 times, respectively. The greatest drivers of our valuation are strong WFE spending, in particular for leading-edge logic chips for AI, and our belief that Lam can continue to increase its total wafer fabrication equipment market share.

We model a 18% compound annual growth rate for Lam's sales through fiscal 2030. In fiscal 2026 through fiscal 2028, we forecast more than 20% growth behind strong cutting-edge logic demand to support generative AI infrastructure. We model tapering down to midcycle growth in the mid- to high-single digits thereafter. We believe short-term growth will be driven by deep supply constraints for AI chips, while midcycle growth will be driven by chipmakers adopting new technologies like advanced

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packaging, high-bandwidth memory, and new transistor architectures that require more advanced WFE into the long-term. Lam's system sales are the most cyclically affected, while we expect its services revenue to be much more stable and offset some cyclicality on its top line.

We forecast non-GAAP gross margin of 51% in fiscal 2030, which we see as a strong normalized level for Lam. We think operating margins will move mostly in line with gross margin expansion as Lam continues to spend on R&D. We estimate 39% non-GAAP operating margin in fiscal 2030, up from 32% in fiscal 2025.

Risk and Uncertainty William Kerwin, CFA, Senior Equity Analyst, 23 Apr 2026

We assign a High Morningstar Uncertainty Rating to Lam. The company is prone to cyclicality in the semiconductor industry, with times of oversupply and lower capital expenditures followed by times of strong demand and more manufacturing buildouts. Results can fluctuate with end semiconductor demand, but we retain our belief that Lam can grow over the course of cycles into the long term.

Lam faces risk from geopolitical uncertainty, primarily between the US and China. The US government has levied export restrictions on advanced semiconductor manufacturing equipment, which limits Lam's ability to ship into Chinese chipmakers. This impact is already digested, and Lam is largely able to make up with demand elsewhere in the world, in our view. Still, there is risk that restrictions ramp up further and could be a sales headwind for the firm.

Lam also bears risk from a concentrated customer base. If a relationship with a large manufacturer like TSMC, Samsung, or Micron were to sour, its competitive position could worsen.

We foresee little environmental, social, and governance risk for Lam. Its primary risk in this domain would be losing human capital to other WFE firms. If Lam isn't able to retain its critical engineers, it could start to see its intangible assets erode.

Capital Allocation William Kerwin, CFA, Senior Equity Analyst, 23 Apr 2026

We assign Lam an Exemplary Capital Allocation Rating, driven by a sound balance sheet, exceptional investments, and good shareholder returns.

We rate Lam's balance sheet as strong, with net cash and long-dated debt maturities. The company generates strong cash flow and sends most of it back to shareholders, which we like. It targets at least 75% of free cash flow going back to shareholders, but we expect it to exceed that number.

We think Lam's investments have been exceptional. It rightly prioritizes organic R&D investment, in our view. We credit its large R&D budget for carving out its wide moat and delivering share gains in WFE over the past five years. Lam has gained share at Intel and other logic customers over recent history, helping to diversify its revenue base. The WFE market is quite consolidated, with the top five suppliers (including Lam) making up over 70% of total revenue. We don't foresee sizable deals between these

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large players, given anticompetition concerns. A good example is the proposed Lam-KLA merger, which was called off in 2016. Still, Lam makes occasional small bolt-on deals to reinforce its software capabilities or add depth in a particular chemical process.

Analyst Notes Archive

Lam Earnings: The AI Growth Cycle Finds yet Another Gear William Kerwin, CFA,Senior Equity Analyst,23 Apr 2026

Lam Research's March-quarter results hit the top ends of guidance, and it provided stellar June-quarter guidance. Compared with FactSet consensus estimates, June-quarter revenue is guided 10% higher (at the midpoint), and June-quarter earnings are guided 15% higher. Why it matters: The artificial intelligence-driven growth cycle for WFE looks even stronger than we expected 90 days ago. Simply put, AI demand continues to accelerate, requiring further expansion of chip supply and orders for Lam equipment. This is primarily led by cutting-edge logic and DRAM chips. We see steep supply constraints in NAND, too, particularly with the advent of new architectures like KV cache that use higher NAND capacity to improve AI model performance. While NAND WFE has been depressed for some time, we believe this can supplement future DRAM and logic. Lam's margins continue to impress us, driven by higher volumes of cutting-edge equipment that carry strong pricing. Lam's gross margin guide (50.5%) and operating margin guide (36.5%) both already exceed its long-term targets as given just a year ago. The bottom line: We raise our fair value estimate for wide-moat Lam to $220 per share, up from $200, driven by even stronger growth forecasts over the next three years in the WFE AI growth cycle. Shares remain overvalued to us. Lam shares are up 55% year-to-date, and there was little after-hours reaction to the blowout guidance, suggesting to us that this good news was already priced in. Still, to justify Lam's current price, we'd have to assume maintaining more than 20% growth annually through 2030. Our own forecast calls for 30% growth in calendar 2026, followed by 20% growth in 2027 and 2028. Thereafter, we expect a tapering to close to 10% growth—still stronger than our prior views of midcycle WFE growth, but more conservative than what we see priced into the market today.

Lam Research Earnings: The AI Cycle Looks Magnificent, but We Remain Skeptical of Sky-High Prices William Kerwin, CFA,Senior Equity Analyst,29 Jan 2026

Lam Research reported strong December-quarter results and guided for impressive growth in calendar 2026. Lam expects 2026 wafer fabrication equipment spending to increase by more than 20%, reaching $135 billion from $110 billion in 2025. Why it matters: We expect a superb growth cycle for WFE in 2026 and 2027. Demand for artificial intelligence chips is immense, and supply is scarce. We expect significant buildouts of chip supply over the next three to five years, which should enable stellar growth for Lam. In June 2025, we predicted an AI-driven growth cycle for WFE. Our revised expectations are significantly higher than those of seven months ago. We now expect above 20% growth in 2026 and

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2027, up from our old expectations for mid-single-digit growth. We expect cutting-edge logic chips to lead growth for Lam, but for this cycle to be broad-based. DRAM and NAND are increasingly used to advance AI model performance. While Lam is conventionally associated with NAND memory, investors should consider it well-exposed across chip types. The bottom line: We raise our fair value estimate for wide-moat Lam to $200 per share, from $115, to reflect stronger medium-term growth. Shares rose 6% after-hours on results, and we continue to find the firm's valuation challenging. Lam stock has more than tripled in the last 12 months, rising 40% in January 2026 alone. We agree with much of this rise given high growth expectations in the years ahead, but believe investors need to expect closer to 30% growth in the next two years to justify buying in today. Investors likely have concerns over the durability of AI spending. To us, the severe AI chip supply constraints today give us confidence for at least the next two years. We do not see demand limiting growth over this period, with supply the primary constraint on investment.

Lam Research Earnings: Strong AI Investment Should Offset China Headwinds and Raises Our Valuation William Kerwin, CFA,Senior Equity Analyst,23 Oct 2025

Lam Research's September-quarter results came in at the high end of guidance. Sales rose 21% year over year to $5.3 billion, and non-GAAP operating margin rose 250 basis points year over year to 33.2%. December-quarter guidance calls for a slight moderation from September levels. Why it matters: Guidance exceeded our expectations and was above qualitative management commentary last quarter. It looks like strong cutting-edge chip demand, fueled by artificial intelligence infrastructure investments, is providing a stronger offset to growth headwinds out of China. We see AI as the main driver of chip equipment growth in the medium term. AI fuels an expanded chip supply and higher complexity chips, which are both constructive for Lam. We see Lam as well-positioned to capitalize on this demand and take incremental share as a technology leader. China headwinds come via trade restrictions and a correction from overordering in 2023 and 2024. We see China revenues normalizing at roughly 25% of Lam's sales in the longer term. This remaining sales base exclusively serves lagging-edge chip manufacturing, which we see at low future restriction risk. The bottom line: We raise our fair value estimate for wide-moat Lam to $115, from $100, after raising our growth forecasts. We're now more optimistic that AI capacity investments will offset China headwinds in calendar 2026. Shares still look rich to us for this high-quality stock. Lam has greatly outperformed the chip equipment market in 2025 thus far, and we expect more outperformance in calendar 2026. We see AI driving concentration in chip equipment suppliers, with Lam in the top tier of suppliers to serve the most cutting-edge chips. We expect cutting-edge logic chips and DRAM chips to be the primary growth vectors for Lam over the medium term, as these two technologies represent the bulk of chip capacity investments to serve AI.

Raising Valuations for Applied Materials, KLA, and Lam Research With Higher AI Expectations for WFE William Kerwin, CFA,Senior Equity Analyst,22 Sep 2025

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We have updated our medium-term growth assumptions for the wafer fabrication equipment market and for Applied Materials, KLA, and Lam Research specifically. Our growth forecasts for these companies also include advanced packaging investments for semiconductors.Why it matters: We see investments in artificial intelligence infrastructure, particularly AI accelerator chips, driving strong medium-term growth for WFE and advanced packaging. We believe AI demand is driving an increase in the supply of advanced logic and DRAM chips, as well as gains in chip complexity. Advanced packaging typically doesn't count as part of WFE but is an increasingly important opportunity for well-positioned WFE vendors that can do both. We expect this to add to overall growth over the next five years for Applied, KLA, and Lam. We see this group as technology leaders in WFE and advanced packaging that stand to benefit disproportionately from AI chip investments by offering best-of-breed equipment. We expect these companies to outperform smaller peers as they aggregate market share.The bottom line: We have raised our fair value estimates for these three wide-moat WFE vendors: to $200 per share from $196 for Applied Materials, to $800 from $750 for KLA, and to $100 from $96 for Lam. After recent appreciation, we view Applied as fairly valued, while KLA and Lam look overvalued. We've seen strong appreciation for the group with improved sentiment for Intel after investments by the US government and Nvidia. We think this is neutral for WFE companies, with our long-term WFE forecast more tied to global chip demand than short-term share shifts among TSMC, Intel, and Samsung. We believe the three companies share an attractive AI growth opportunity in the next five years, but we like Applied the best of this group. Applied's shares have underperformed those of KLA and Lam, which we see as an actionable disconnect for long-term investors.

Lam Research Earnings: We Raise Our Longer-Term Forecast and Our Valuation to $96 From $86

William Kerwin, CFA,Senior Equity Analyst,31 Jul 2025

Lam's June quarter results came in above the midpoints of management guidance, with revenue rising 34% year over year and 10% sequentially to $5.17 billion. September guidance implies similarly high revenue, but management expects a step down in revenue and margin in the December quarter. Why it matters: Lam is capitalizing on robust demand, led by cutting-edge logic chips and artificial intelligence applications. We expect this to endure over the medium term. September quarter guidance was well above our model, primarily due to incremental demand out of China that we view as short-term. After large order numbers in 2024 to avoid future restrictions, we expected China revenue to normalize. This had been bearing out, but June results and September guidance appear to show a late surge of order growth. We believe this is a pull-in and expect levels to step down into 2026. Lam's outperformance in 2025 is broader than China. We forecast more than 30% equipment sales growth in calendar 2025, implying significant share gains (we estimate market growth of 10%). We believe this shows Lam's proficiency at the cutting edge and in advanced packaging for AI chips. The bottom line: We raise our fair value estimate for wide-moat Lam to $96 from $86 and view shares as fairly valued. We raise our growth forecast as we expect even higher investments from leading foundries like TSMC

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Lam Research Corp LRCX ★ 11 Jun 2026 21:21, UTC

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for cutting-edge chips, advanced packaging, and high-bandwidth memory. Shares dipped 5% after-hours, likely due to softer December quarter commentary. We see the September surge and December step-down as short-term noise. Our longer-term focus is on cutting-edge chip investment, where we think Lam can take further share in a rising market. We still model just below Lam's calendar 2028 target model even at our updated forecast. We expect investments to be lumpy across memory and logic in the medium term. If Lam achieves its model, there would be upside to our forecasts.

Lam Research Earnings: Cutting-Edge Chip Demand Endures Despite Tariff Uncertainty William Kerwin, CFA,Senior Equity Analyst,24 Apr 2025

Lam Research reported positive March-quarter results, with revenue rising 24% year over year to $4.72 billion and non-GAAP operating margin expanding 30 basis points year over year to 49.0%. Guidance calls for further growth, with a June-quarter sales midpoint of $5 billion.Why it matters: We see Lam's results reflecting continued good demand for chip equipment, particularly for the most advanced chips. Guidance handily beat our expectations, and we liked to hear of minimal impact from US tariffs at least for now. Artificial intelligence-related investment continues to drive cutting-edge chip supply growth, which is currently Lam's strongest growth driver. We expect continued high sales to foundry and DRAM customers over the medium term as a result. Lam is also benefiting from a moderate rebound in NAND chip investment, with customers using weaker end demand as a time to upgrade equipment, which spurs chip equipment revenue. The bottom line: We maintain our $86 per share fair value estimate for wide-moat Lam Research with our long-term thesis intact. Shares look attractive after selling off in response to tariff uncertainty in April. Despite some near-term uncertainty, we see Lam as a strong long-term holding for investors. We do expect growth to moderate after the June quarter, primarily due to the impact of restrictions to Chinese customers creating a tougher comparison, as well as lumpy spending at other logic and memory chipmakers. We still expect Lam to outperform underlying chip equipment market growth. We remain skeptical about Lam's ambitious calendar 2028 targets as given at its February investor day. Our model is below the low end of its targets across the board, primarily due to our expectations for cyclicality. Lam is targeting a 13% compound annual growth rate, while we model closer to 8%.

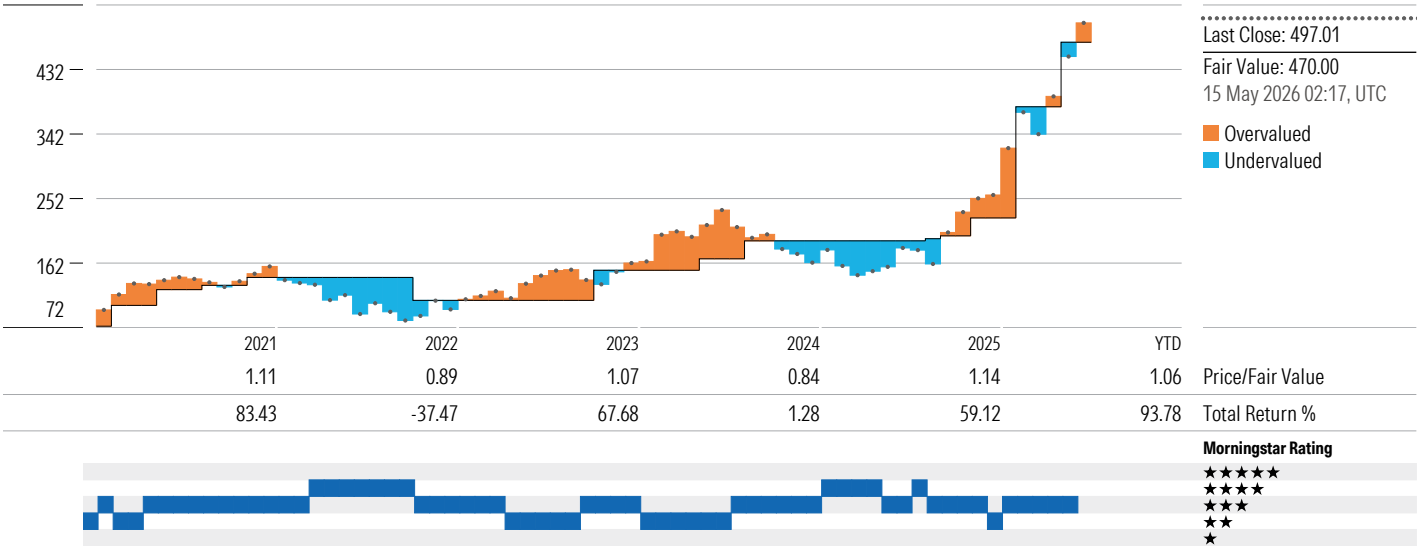
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Competitors Price vs. Fair Value

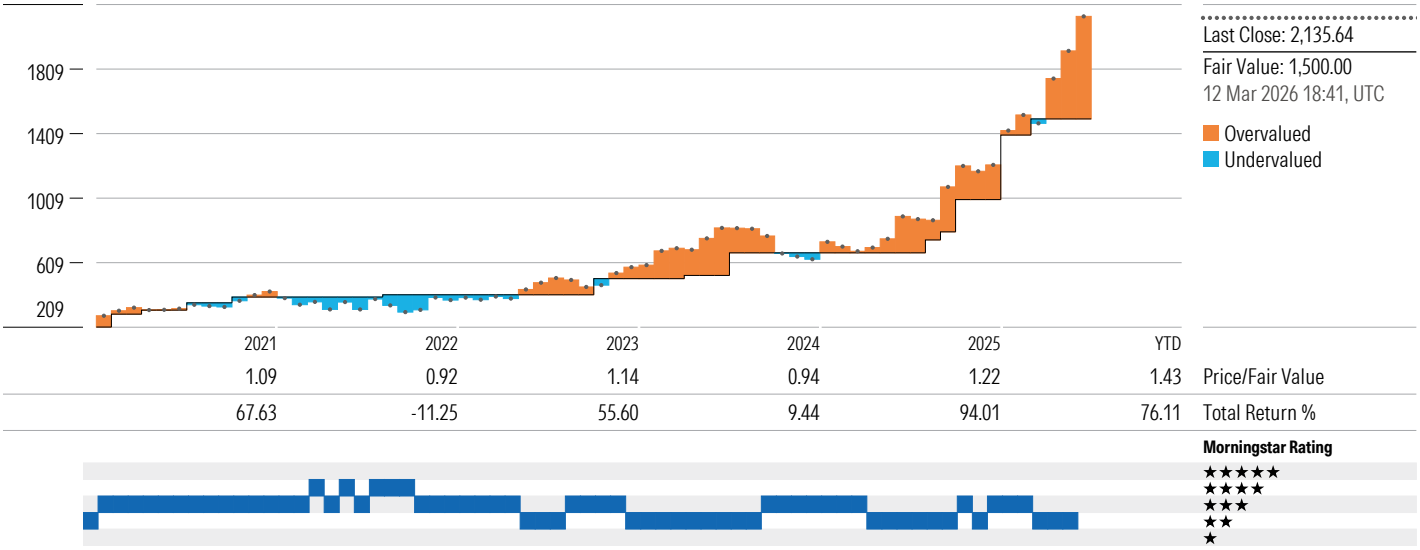
Applied Materials Inc AMAT



	2021	2022	2023	2024	2025	YTD	
	1.11	0.89	1.07	0.84	1.14	1.06	Price/Fair Value
	83.43	-37.47	67.68	1.28	59.12	93.78	Total Return %

Total Return % as of 10 Jun 2026. Last Close as of 10 Jun 2026. Fair Value as of 15 May 2026 02:17, UTC.

KLA Corp KLAC



	2021	2022	2023	2024	2025	YTD	
	1.09	0.92	1.14	0.94	1.22	1.43	Price/Fair Value
	67.63	-11.25	55.60	9.44	94.01	76.11	Total Return %

Total Return % as of 10 Jun 2026. Last Close as of 10 Jun 2026. Fair Value as of 12 Mar 2026 18:41, UTC.

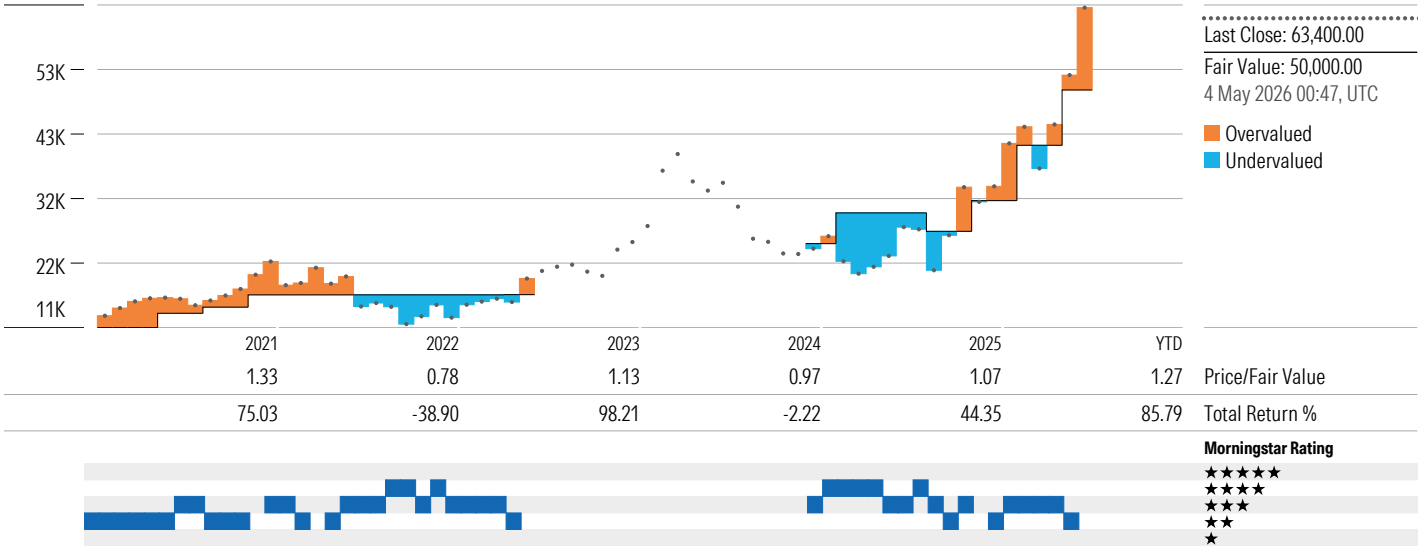
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Competitors Price vs. Fair Value

Tokyo Electron Ltd 8035



	2021	2022	2023	2024	2025	YTD	
	1.33	0.78	1.13	0.97	1.07	1.27	Price/Fair Value
	75.03	-38.90	98.21	-2.22	44.35	85.79	Total Return %

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 11 Jun 2026. Last Close as of 11 Jun 2026. Fair Value as of 4 May 2026 00:47, UTC.

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Morningstar Valuation Model Summary

Financials as of 22 Apr 2026	Actual			Forecast				
Fiscal Year, ends 30 Jun	2023	2024	2025	2026	2027	2028	2029	2030
Revenue (USD Mil)	17,429	14,905	18,436	23,360	29,829	35,621	39,006	42,314
Operating Income (USD Mil)	5,217	4,282	5,901	8,229	11,169	13,743	15,115	16,420
EBITDA (USD Mil)	5,517	4,624	6,287	8,724	11,784	14,470	15,907	17,278
Adjusted EBITDA (USD Mil)	5,517	4,624	6,287	8,724	11,784	14,470	15,907	17,278
Net Income (USD Mil)	4,511	3,828	5,358	7,200	9,717	11,819	12,848	13,957
Adjusted Net Income (USD Mil)	4,640	3,998	5,334	7,244	9,720	11,822	12,849	13,957
Free Cash Flow To The Firm (USD Mil)	4,782	4,716	6,073	6,618	9,610	12,103	12,105	13,434
Weighted Average Diluted Shares Outstanding (Mil)	1,358	1,320	1,290	1,267	1,245	1,219	1,191	1,160
Earnings Per Share (Diluted) (USD)	3.32	2.90	4.15	5.68	7.81	9.69	10.79	12.04
Adjusted Earnings Per Share (Diluted) (USD)	3.42	3.03	4.13	5.72	7.81	9.69	10.79	12.04
Dividends Per Share (USD)	0.69	0.80	0.92	1.04	1.20	1.36	1.52	1.68

Margins & Returns as of 22 Apr 2026		Actual			Forecast					
	3 Year Avg	2023	2024	2025	2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	30.1	29.9	28.7	32.0	35.2	37.4	38.6	38.8	38.8	37.8
EBITDA Margin %	—	31.7	31.0	34.1	37.4	39.5	40.6	40.8	40.8	—
Adjusted EBITDA Margin %	—	31.7	31.0	34.1	37.4	39.5	40.6	40.8	40.8	39.8
Net Margin %	26.9	25.9	25.7	29.1	30.8	32.6	33.2	32.9	33.0	32.5
Adjusted Net Margin %	27.5	26.6	26.8	28.9	31.0	32.6	33.2	32.9	33.0	32.5
Free Cash Flow To The Firm Margin %	30.7	27.4	31.6	32.9	28.3	32.2	34.0	31.0	31.8	31.5

Growth & Ratios as of 22 Apr 2026		Actual			Forecast					
	3 Year CAGR	2023	2024	2025	2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	2.3	1.2	-14.5	23.7	26.7	27.7	19.4	9.5	8.5	18.1
Operating Income Growth %	3.1	-3.1	-17.9	37.8	39.5	35.7	23.1	10.0	8.6	22.7
EBITDA Growth %	19.5	-3.5	-16.2	36.0	38.8	35.1	22.8	9.9	8.6	-4.7
Adjusted EBITDA Growth %	3.2	-3.5	-16.2	36.0	38.8	35.1	22.8	9.9	8.6	22.4
Earnings Per Share Growth %	8.2	1.4	-12.7	43.2	36.9	37.3	24.2	11.3	11.6	23.7
Adjusted Earnings Per Share Growth %	8.2	3.2	-11.3	36.5	38.3	36.5	24.2	11.3	11.5	23.7

Valuation as of 22 Apr 2026	Actual			Forecast				
	2023	2024	2025	2026	2027	2028	2029	2030
Price/Earning	—	35.1	23.6	63.4	46.4	37.4	33.6	30.1
Price/Sales	—	9.3	6.7	19.4	15.2	12.7	11.6	10.7
Price/Book	—	16.5	12.7	41.1	32.8	26.5	22.6	19.9
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	—	30.0	19.5	51.8	38.4	31.3	28.4	26.2
EV/EBIT	—	32.4	20.8	55.0	40.5	32.9	29.9	27.5
Dividend Yield %	—	0.8	1.0	0.3	0.3	0.4	0.4	0.5
Dividend Payout %	20.2	26.4	22.3	18.2	15.4	14.0	14.1	14.0
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 22 Apr 2026	Actual			Forecast				
Fiscal Year, ends 30 Jun	2023	2024	2025	2026	2027	2028	2029	2030
ROA %	20.4	25.1	30.8	34.6	35.9	36.2	36.9	0.0
ROE %	44.8	54.3	64.5	70.7	70.9	67.4	66.2	0.0
ROIC %	27.7	37.6	49.2	61.0	69.0	69.6	68.7	—

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 30 Jun	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	5.5	3.5	3.5	1.3	1.2	1.2	0.8	0.5
Assets/Equity	2.3	2.2	2.2	2.1	2.0	2.0	1.9	1.8
Net Debt/EBITDA	-0.1	-0.2	-0.3	-0.4	-0.4	-0.5	-0.5	-0.6
Total Debt/EBITDA	0.9	1.1	0.7	0.4	0.3	0.3	0.2	0.1
EBITDA/ Net Interest Expense	84.0	-48.0	-110.0	-171.0	—	—	—	—

Forecast Revisions as of 23 Apr 2026	2026		2027		2028	
Prior data as of 28 Jan 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	220.00	200.02	—	—	—	—
Revenue (USD Mil)	23,360	22,575	29,829	27,899	35,621	33,313
Operating Income (USD Mil)	8,229	7,752	11,169	9,965	13,743	12,504
EBITDA (USD Mil)	8,724	8,231	11,784	10,542	14,470	13,185
Net Income (USD Mil)	7,244	6,792	9,720	8,474	11,822	10,631
Earnings Per Share (Diluted) (USD)	5.68	5.33	7.81	6.79	9.69	8.69
Adjusted Earnings Per Share (Diluted) (USD)	5.72	5.36	7.81	6.80	9.69	8.69
Dividends Per Share (USD)	1.04	1.04	1.20	1.20	1.36	1.36

Key Valuation Drivers as of 22 Apr 2026

Cost of Equity %	9.2
Pre-Tax Cost of Debt %	5.5
Weighted Average Cost of Capital %	9.1
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	9.0
Stage II Investment Rate %	15.0
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 22 Apr 2026

	USD Mil
Present Value Stage I	36,097
Present Value Stage II	114,101
Present Value Stage III	106,121
Total Firm Value	**256,318**
Cash and Equivalents	6,391
Debt	4,485
Other Adjustments	0
Equity Value	**258,225**
Projected Diluted Shares	1,256
Fair Value per Share (USD)	**220.00**

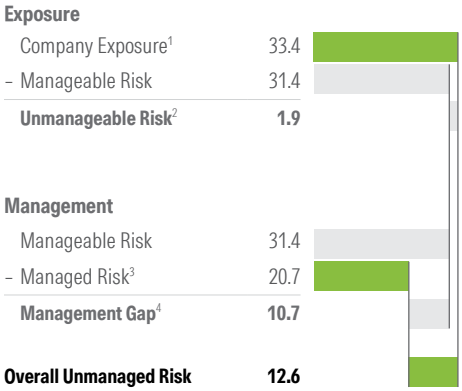
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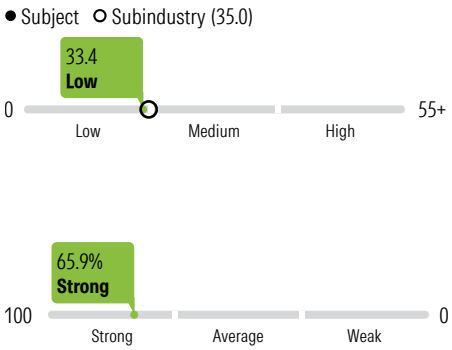
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ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating is of Jun 10, 2026. Highest Controversy Level is as of Jun 08, 2026. Sustainalytics Subindustry: Semiconductor Equipment. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 65.9% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 10 Jun 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Lam Research Corp	33.4 | Low	0	55+	65.9 | Strong	100	0	12.6 | Low	0	40+
KLA Corp	32.4 | Low	0	55+	65.2 | Strong	100	0	12.5 | Low	0	40+
Applied Materials Inc	32.6 | Low	0	55+	66.3 | Strong	100	0	12.3 | Low	0	40+
Tokyo Electron Ltd	33.4 | Low	0	55+	59.0 | Strong	100	0	14.8 | Low	0	40+
—	— | —	0	55+	— | —	100	0	— | —	0	40+

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Appendix

Historical Morningstar Rating

Lam Research Corp LRCX 9 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	★★	★★	★★	★★★	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★★	★★	★★	★★	★★	★★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

Applied Materials Inc AMAT 9 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	★★★	★★★	★★★	★★★	★★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

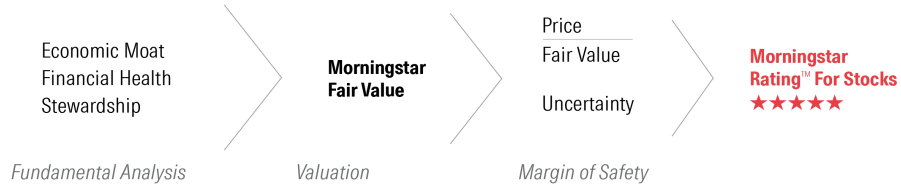
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

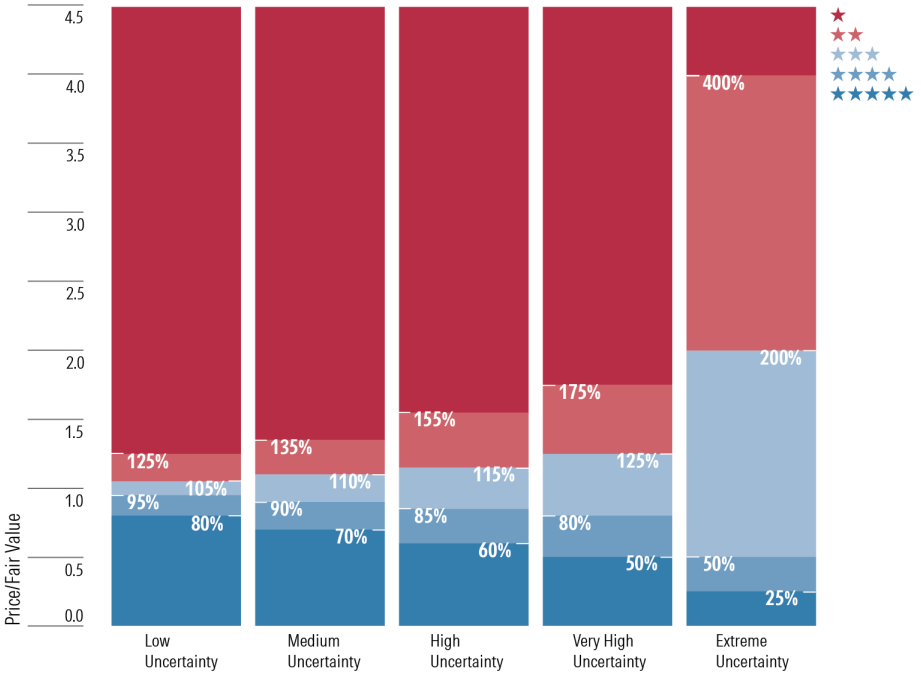
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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